FMCG

Your Company has built and nurtured a portfolio of 25 world-class Indian brands in a short span of time with a superordinate vision to create and retain larger value in India. ITC is today the largest incubator of FMCG brands in India, anchoring competitive and inclusive value-chains in wheat, potato, fruits and vegetables, dairy, aqua, forestry among others, that empower millions of farmers. These innovative purpose-led brands are also at the forefront of raising awareness on contemporary social issues. Today, it is immensely encouraging that ITC's newer FMCG Businesses have garnered an annual consumer spend of Rs 24,000 crores. The carefully selected portfolio, with substantial headroom to grow, is estimated to have a total addressable market potential of Rs 5,00,000 crores by 2030, which is amongst the highest in the Indian FMCG space.

ITC launched 110 products during the year, indeed a testimony to your Company's consumer centricity, agility, innovative capacity and digital transformation. It also reflects the ITC Next strategy to fortify and scale up our mega brands such as Aashirvaad, Sunfeast, Bingo! and Yippee!, leverage some of these power brands to address value-added adjacencies and invest in categories of the future. Today, Aashirvaad which is a strong centre-of-plate brand encompassing a range of staples has been extended to Organic, Frozen Breads & Vermicelli; Sunfeast beyond Biscuits to Cakes and Savlon to Surface Disinfectant Sprays and so on. ITC is also investing in categories of the future with some segments being progressively scaled up such as natural-action Nimyle floor cleaners and ITC Master Chef frozen snacks. We continue to incubate new engines of growth to create beachheads in areas that hold promise for the future. In addition, value-accretive acquisitions like Sunrise spices and investments in tech-enabled startups like Mother Sparsh and Mylo, in fast-evolving spaces like mother and childcare, will provide new vectors to accelerate growth.

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As we achieve scale for your Company's FMCG portfolio, it is also our aspiration to take these world-class brands to overseas markets. In recent years, we have established distribution arrangements abroad enabling appreciable progress of exports of ITC's 'Proudly Indian' brands to over 60 countries.

The FMCG landscape and consumer access points are transforming rapidly. To stay ahead of the curve, your Company continues to invest in future-ready capabilities to develop new routes to market with strategic partnerships, whilst expanding the breadth, depth and effectiveness of its distribution infrastructure. Today, ITC's products are available in nearly 70 lakh outlets through our vibrant omni-channel network.

ITC has built state-of-the-art Integrated Consumer Goods Manufacturing and Logistics (ICML) facilities across the country to create structural advantages with leaner operations and smart manufacturing leveraging Industry 4.0, enabling a higher level of product freshness, best-in-class quality, market servicing, agility and efficiency. During the year, a new plant was commissioned at Medak, Telangana, taking the total to 10 such modern facilities. In addition, 3 co-located automated logistics centres have been established which together with next generation agile supply chains will enable superior and efficient fulfilment.

It is also heartening that women comprise a large majority of the workforce in the new ICMLs, reflecting your Company's commitment to foster Diversity and Inclusion. Recently, your Company has also created an inclusive panel with 60 visually impaired evaluators as fragrance experts for the Mangaldeep brand of agarbattis.

As part of the ITC Next strategy, the FMCG Businesses continue to create structural competitive advantages and enhance profitability through a gamut of interventions. These include investments in the brand portfolio, science-led innovation, a smart connected ecosystem as well as in building structural advantages in the supply chain and multi-channel distribution. Over time, these investments together with the unique synergy of your Company's enterprise strengths will increasingly contribute to growth and profitability, in spite of the gestation costs associated in scaling up nascent categories and new facilities.

The traditional business segment of Cigarettes also recovered during the year with normalisation of economic activity and is now ahead of pre-pandemic levels. Market standing stood reinforced through strategic portfolio interventions and superior on-ground execution. The legal cigarette industry has been severely impacted by smuggled and tax-avoided products over the years and a relatively stable tax regime is expected to enable the industry to claw back volumes over time.

Agri Business

Your Company is a trailblazer in farmer empowerment with deep engagement in agriculture that spans over a century. Today, ITC's Agri Business sources over 40 lakh tonnes of agri-commodities from 22 States & 20 agri-value chains and is a leading exporter to over 95 countries across the globe.

Agriculture is the lifeline of the Indian economy. Even though India is blessed with strong endowments in agriculture, its share of global trade is only 3%, whilst less than 10% of the country's agri produce is processed. Agricultural productivity and incomes are today seriously threatened by climate change and depleting natural resources, even as the rising population calls for enhanced food and livelihood security.

Global food demand is expected to increase anywhere between 59% to 98% by 2050 according to an article in the Harvard Business Review. A report by the HLEG set up by the 15th Finance Commission has highlighted that India's agri-food exports can double over the medium term, given that the country possesses the largest tracts of arable land in the world as well as diverse agro-climatic zones. Strategic partnerships developed along the lines of the 'Food Security Corridor Initiative' signed as part of the India-UAE CEPA can go a long way in promoting India's potential. Undoubtedly, this will call for higher levels of production, building of competitive agri value-chains, crop diversification to value-added products and scaling up of food processing to serve emerging consumer needs for products that are sustainable and identity preserved particularly in the health, nutrition and organic space.

It is therefore imperative to usher in Next Generation Agriculture by orchestrating an orbit-shift from the conventional production-centric supply chains to demand-responsive value-chains anchored by market players.